THE
ANNOUNCEMENT ROOM
WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

CITY CHIC COLLECTIVE LIMITED (ASX: CCX) TRADING UPDATE | 4 NOVEMBER 2026

City Chic says it expects positive first-half EBIT after cutting discounting

City Chic Collective gave a preliminary, unaudited trading update for the 18 weeks to 1 November 2026. Sales fell as the company pulled back promotions on purpose, but gross margin rose. Group revenue excluding wholesale was down 1.7% while gross margin dollars rose 2.2%. The company expects positive EBIT in the first half of FY27, subject to Black Friday and Christmas trading.

+240bps
Group trading gross margin
Versus the prior corresponding period

+2.2%
Gross margin dollars
Excluding wholesale, while revenue fell 1.7%

+15.4%
ANZ comparable store sales
Full-price stores up 19.6%

Positive
Expected 1H FY27 EBIT
No figure or EBIT definition given

THE 18 WEEKS TO 1 NOVEMBER 2026 VERSUS THE PRIOR PERIOD

MEASURE (AS REPORTED)	CHANGE
Group revenue, excluding wholesale	**-1.7%**
Group gross margin dollars, excluding wholesale	**+2.2%**
Total sales, including closed wholesale business	**-6.1%**
Total gross margin dollars, including wholesale	**-2.4%**
Group comparable sales	**+1.2%**
Group comparable trading gross margin dollars	**+5.1%**
ANZ online comparable sales	**-7.4%**
ANZ online trading gross margin rate	**+200bps**
USA comparable sales	**-12.0%**
USA comparable trading gross margin dollars	**+7.1%**

Wholesale is a discontinued business, which is why the company shows totals with and without it.

WHY SALES FELL AND MARGIN ROSE

- **A planned reset.** In August the company made a planned decision to materially reduce promotional activity, particularly online.
- **Online took the hit first.** ANZ online comparable sales fell 7.4%, against a year in which the company ran heavier promotions. Management says momentum has since improved with the new season range.
- **Stores did the work.** ANZ comparable store sales rose 15.4% and total store sales rose 7.5%. Full-price stores rose 19.6% on a comparable basis.
- **Store count.** The ANZ network is seven stores smaller than a year earlier. Four have closed since June and Rouse Hill Town Centre opened in October.
- **USA.** Management says the USA business remains profitable. USA sales fell 34.2%, which includes the closed wholesale business, and fell 13.0% excluding it.

What the company does. City Chic is an omni-channel retailer of plus-size women's apparel, footwear and accessories. It runs 72 stores across Australia and New Zealand, websites in ANZ and the USA, and sells through third-party marketplace partners.

Sources: ASX announcements by City Chic Collective Limited: Trading Update for the 18 weeks to 1 November 2026 (4 November 2026, primary source); FY26 Results Announcement and Appendix 4E (24 August 2026); Annual Report 2026. Prior-year comparison: Trading Update for the 18-weeks to 2 November 2025. The 18-week figures are preliminary and unaudited. Percentage changes are as reported by the company unless marked calculated. Share price and trading data are not used in this report.

General information only. Not financial advice.

Fewer discounts, better margin, and an EBIT expectation that rests on Black Friday and Christmas

LAST YEAR'S PROFIT BASE (FY26, A$ MILLION)



Underlying EBITDA is a non-IFRS measure, after AASB 16, and excludes $0.228m of restructuring costs. It rose 92.5% (calculated from $12,333k and $6,407k). FY26 statutory loss from continuing operations was $6.606m. Bars start at zero.

BALANCE SHEET AND FUNDING

Net cash, 28 June 2026	**$5.2m**
$10m debt facility drawn, 28 June 2026	**Nil**
Facility remains in place until	**31 Mar 2028**
FY27 clean downs completed	**1 of 2**
Second clean down expected	**Dec 2026**

The 4 November update gives no current cash or drawn-debt figure. The company says it expects no drawn debt at the end of 1H FY27.

REPORTED RESULTS VERSUS MANAGEMENT EXPECTATIONS

- **Reported (18 weeks):** revenue ex-wholesale -1.7%, gross margin dollars ex-wholesale +2.2%, group trading gross margin +240bps, group comparable sales +1.2%.
- **Relationship (calculated):** gross margin dollars grew 3.9 percentage points faster than revenue ex-wholesale. The business is earning more from each sale.
- **Expected, not achieved:** positive EBIT in 1H FY27, positive cash and no drawn debt at the end of 1H FY27, subject to continuing sales momentum into Black Friday and Christmas.
- **Not defined:** the company does not say whether EBIT is statutory or underlying, and gives no EBIT figure.

WHAT TO WATCH

Black Friday and Christmas.
The company ties its EBIT expectation to continued sales momentum in the peak period. Online sales and USA comparable sales were both down in the first 18 weeks.

The 1H FY27 result in February 2027.
It will show whether positive EBIT was delivered, how EBIT is defined, and the cash and debt position at period end.

The second debt clean down in December 2026.
The company expects to finish the half with no drawn debt.

Store network and USA recovery.
Management says it continues to focus on rebuilding USA sales momentum. The ANZ network is seven stores smaller than a year ago.

TAR TAKE

This is TAR's interpretation, not a company statement. City Chic is trading dollars of sales for quality of sales, and the early numbers show it working: less revenue, more gross margin dollars, and strong full-price stores. That supports the EBIT expectation. But the figures are preliminary and unaudited, the expectation is conditional on the busiest weeks of the year, EBIT is not defined and no figure is given, and online and USA sales are still falling. The first half has to finish the job.

Sources: ASX announcements by City Chic Collective Limited: Trading Update for the 18 weeks to 1 November 2026 (4 November 2026); FY26 Results Announcement and Appendix 4E (24 August 2026); Annual Report 2026; Trading Update for the 18-weeks to 2 November 2025. Items marked calculated are TAR calculations from these figures. EBIT, as used by the company, is not defined in the announcement. This report does not use share price data.

General information only. Not financial advice.